# ACADEMIC CENTRAL

PRACTICE EXAMINATION

## GRADE 10

# ECONOMICS

## PAPER 1

**MARKS: 100** **TIME: 2 hours**

**Topics: the basic economic problem, economic systems, the circular flow, demand and supply, and unemployment.**

Written by Academic Central for practice, following the CAPS curriculum for Grade 10. It is not a Department of Basic Education examination paper.

## INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions: SECTION A (QUESTION 1), SECTION B (QUESTIONS 2 and 3) and SECTION C (QUESTION 4, essay).
2. Draw graphs neatly and label them fully. Write in full sentences where explanations are asked for.

## SECTION A

## QUESTION 1

**1.1** Choose the correct answer. Write only the letter (A–D).

1.1.1 The value of the next best alternative that is given up is called …

A price. B opportunity cost.
C profit. D scarcity.

1.1.2 The factors of production are …

A land, labour, capital and entrepreneurship. B money, shares, bonds and banks.
C goods and services. D households and firms.

1.1.3 In a market economy, most economic decisions are made by …

A the government. B households and firms in markets.
C trade unions. D traditional leaders.

1.1.4 When the price of a product rises, the quantity demanded usually …

A increases. B decreases.
C stays the same. D doubles.

1.1.5 The reward (income) for labour is …

A rent. B interest.
C wages. D profit.

(5 × 2)
(10)

**1.2** Choose a description from COLUMN B that matches a term in COLUMN A. Write only the letter.

| COLUMN A | COLUMN B |
|---|---|
| 1.2.1 Scarcity | A A continuous increase in the general price level |
| 1.2.2 Equilibrium price | B The total value of all final goods and services produced in a country in a year |
| 1.2.3 Inflation | C Needs and wants are unlimited, but resources are limited |
| 1.2.4 Gross domestic product (GDP) | D Combines the factors of production and takes the risk of running a business |
| 1.2.5 Entrepreneur | E The price at which quantity demanded equals quantity supplied |
| | F The reward for capital |

(5 × 2)
(10)

**1.3** Give ONE term for each description.

1.3.1 Goods that can be used instead of each other, such as butter and margarine

1.3.2 People aged 15 to 64 who are able and willing to work

1.3.3 Compulsory payments by individuals and firms to the government

1.3.4 Goods and services bought from other countries

1.3.5 The situation where the quantity supplied is greater than the quantity demanded (5 × 2)
(10)

**TOTAL SECTION A: 30**

## SECTION B

## QUESTION 2: MACROECONOMICS

**2.1** Name the THREE basic economic questions every economy must answer. (3)

**2.2** Explain the term *opportunity cost* and give an example from your own life. (4)

**2.3** A production possibility curve (PPC) shows the combinations of two goods an economy can produce with all its resources. Explain what it means when an economy produces at a point: (a) INSIDE the curve; (b) OUTSIDE the curve. (4)

**2.4** Name the FOUR participants in the circular flow of an open economy. (4)

**2.5** Distinguish between a market economy and a command (centrally planned) economy. (5)

**[20]**

## QUESTION 3: MICROECONOMICS

The table shows the demand for and supply of bread in a town.

| Price per loaf (R) | 10 | 12 | 14 | 16 | 18 |
|---|---|---|---|---|---|
| **Quantity demanded** | 500 | 400 | 300 | 200 | 100 |
| **Quantity supplied** | 100 | 200 | 300 | 400 | 500 |

**3.1** Define *demand*. (2)

**3.2** State the law of demand. (2)

**3.3** Identify the equilibrium price and the equilibrium quantity. (2)

**3.4** At a price of R16, is there a shortage or a surplus? Calculate how big it is. (3)

**3.5** Draw the demand and supply curves on one set of axes. Label the curves, the axes and the equilibrium point. (6)

**3.6** Give TWO factors that could cause the demand curve for bread to shift to the right. (2)

**3.7** Explain what happens to the equilibrium price and quantity when the demand for bread increases. (3)

**[20]**

**TOTAL SECTION B: 40**

## SECTION C

## QUESTION 4: ESSAY

Unemployment is one of South Africa's biggest economic problems.

- Discuss the different types and causes of unemployment in South Africa.
- Evaluate how the government and businesses can reduce unemployment.

[30]

**TOTAL SECTION C: 30 · GRAND TOTAL: 100**

**END OF QUESTION PAPER**